

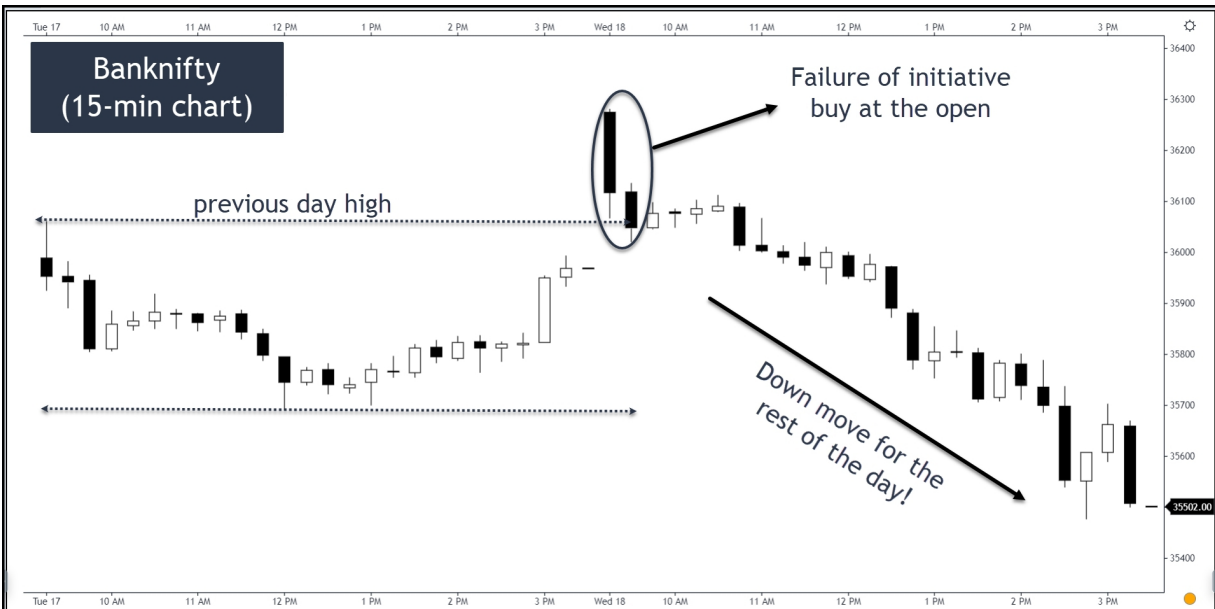


Image 5.18 – Failure of initiative buy (resulted in downside move)

Above image shows an example of the failure of initiative buying during the open action. The price opened with a small gap above PDH, and it appeared like big buyers were involved.

But buyers failed to sustain the momentum in the first candle. Besides, in the second candle, the price closed below PDH, which confirms the failure of an initiative buy. Hence, traders can plan a short trade below this candle low, keeping a stop-loss above the high.

Many traders think that just because of the gap-up open, the price may go up once again (even after seeing the failure of IB at open).

My logic is elementary. On most trading days, either strong buyers or strong sellers will take complete control of the day. The only exception is during the reversals or when the price reaches big round numbers.

So, when initiative buying failed clearly during the open, there is a high probability of sellers taking control for the rest of the day.